

August 12, 2026 11:05 PM GMT

Tencent Holdings Ltd. | Asia Pacific

Front-loaded AI Investment

WHAT'S CHANGED

Tencent Holdings Ltd. (0700.HK)	From	To
Price Target	HK\$650.00	HK\$550.00

Solid core fundamentals are offset by front-loaded AI investments. We now forecast flat earnings in 2H26-2027. Cut price target to HK\$550. Stay OW.

Key Takeaways

- We expect stepped-up AI investment in Hy, WorkBuddy/CodeBuddy, and AI infrastructure. Xiaowei may require less investment than initially expected.
- 3Q26: We see sustained revenue growth momentum (+10.6%) but slower non-IFRS OP growth (+2.7%) owing to front-loaded AI investments.
- We lift our 2026-27 capex forecasts to Rmb200bn each. We lower our non-IFRS OP forecasts 1.8% for 2026 and 12.3% for 2027.

Core businesses could maintain healthy growth in 3Q26: VAS revenue to rise 8.3% YoY, with online games up 11.4% and social network up 2%. Domestic game revenue +15%, overseas game revenue +4%. *Marketing business* revenue up 18% YoY, driven by AI-powered targeting, AIM+, and deepened closed-loop marketing capabilities within Weixin. *FBS* revenue up 10.5% YoY.

Significant AI investment step-up: We raise our 2026 capex forecast to Rmb200bn (from Rmb140bn) to reflect accelerated AI investments focusing on: 1) accelerating Hy model development, with Hy4 to be released later this year; 2) extending leadership in productivity AI via WorkBuddy and CodeBuddy; 3) driving broader adoption of consumer AI through Xiaowei (agentic AI inside Weixin) and Yuanbao (AI chatbot); and 4) investing in AI infrastructure for internal use cases and Tencent Cloud. *We also note that Tencent could monetize excess GPU capacity via Tencent Cloud if needed, though management views this as unlikely.*

Flat OP/NP in the next 1-2 years: We expect incremental AI spending to continue weighing on margins. Non-IFRS OPM to narrow to 35.5% in 2026 and 32.4% in 2027 (vs. 37.3% in 2025). *We now see revenue up 10.3% and non-IFRS OP up 4.8% in 2026 and expect largely flat non-IFRS OP and NP growth in 2H26-27.*

Cut price target to HK\$550, stay OW: We view Tencent's core business as among the strongest in China's internet sector, supported by durable competitive moats and increasing AI enablement across Weixin, gaming and advertising. While stepped-up AI investment may weigh on near-term earnings, we believe Tencent is well positioned to create substantial long-term value. Importantly, excess AI infrastructure capacity could be monetized through Tencent Cloud if needed, providing additional downside protection. At 13.1x 2026E P/E, the stock trades near the low end of its historical range; our PT implies 15.6x 2026E P/E. Overweight.

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Asia Summer School 2026

Tencent Holdings Ltd. (0700.HK, 700 HK)

China Internet and Other Services | China

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$550.00
Up/downside to price target (%)	19
Shr price, close (Aug 12, 2026)	HK\$461.60
52-Week Range	HK\$683.00-411.00
Sh out, dil, curr (mn)	9,279
Mkt cap, curr (mn)	US\$546,046
EV, curr (mn)	US\$465,768
Avg daily trading value (mn)	US\$1,734

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	24.32	24.76	24.92	25.21
Prior EPS (Rmb)**	-	25.88	29.33	33.12
EPS (Rmb)\$	27.99	30.20	32.98	36.68
Revenue, net (Rmb bn)	751.8	829.4	908.7	989.6
EBITDA (Rmb bn)	307.6	345.6	388.2	440.9
ModelWare net inc (Rmb bn)	224.8	229.8	231.3	233.9
P/E	22.1	16.0	15.9	15.7
EV/EBITDA	14.2	9.0	7.8	6.6
EV/revenue*	6.8	4.6	4.2	3.7
P/BV	4.3	2.7	2.3	2.1
ROE (%)\$	21.2	19.7	18.4	17.8

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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2Q26 Results Review

- Revenue +11%, beating mainly on marketing (ads). VAS +7.7% (within which games +11.3%, social network +0.8%); Ads +21.8%; FBS +8.6%. Gross receipts +1% YoY (our estimate based on deferred revenue).
- GP +12.8% YoY; GPM 57.8% (+0.9ppt YoY).
- Non-IFRS OP +9.2% YoY; OPM 36.9% (-0.6ppt YoY); OP (ex-AI) +19% YoY.
- Non-IFRS NP +8.5% YoY, largely in line.
- Capex Rmb53bn (vs. Rmb32bn in 1Q26); FCF turned negative with computing prepayment.

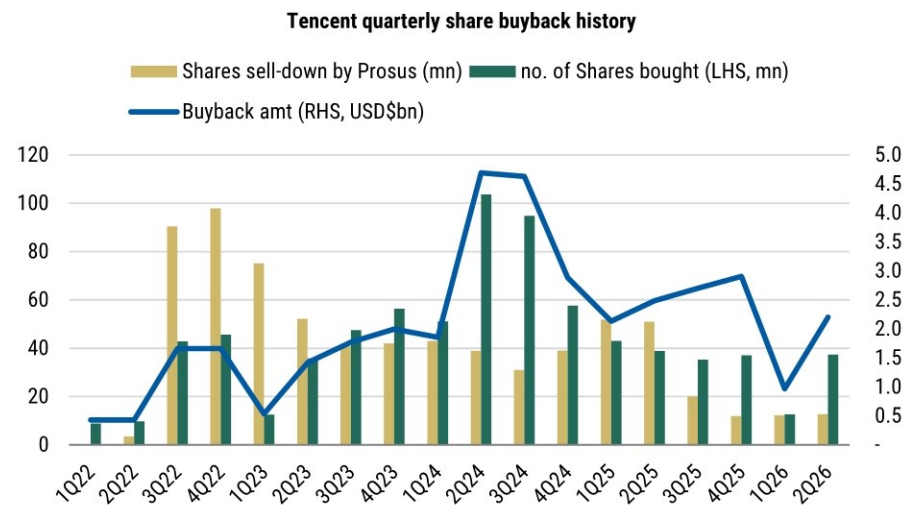
See more: [Tencent Holdings Ltd.: 2Q26: Revenue Beat on Ads; Capex Hike \(12 Aug 2026\)](#)

Exhibit 1: Tencent: 2Q26 Results Review

(Rmb mn)				2Q26	MSe		2Q26	
Income Statement	2Q25	1Q26	2Q26	YoY	2Q26	vs. MSe	Consensus	vs. Cons (%)
VAS	91,368	96,110	98,414	7.7%	97,725	0.7%	97,741	0.7%
- Online games	59,200	64,200	65,900	11.3%	65,364	0.8%	65,204	1.1%
Domestic games	40,400	45,400	47,300	17.1%	45,248	4.5%	44,796	5.6%
International games	18,800	18,800	18,600	-1.1%	20,116	-7.5%	20,434	-9.0%
- Social network	32,200	31,900	32,500	0.8%	32,361	0.4%	32,453	0.1%
Online advertising	35,762	38,171	43,565	21.8%	42,199	3.2%	42,412	2.7%
FinTech and Business Services	55,536	59,885	60,286	8.6%	60,025	0.4%	60,221	0.1%
FinTech	44,736	47,645	47,056	5.2%	46,525	1.1%	46,167	1.9%
Business Services (inc. Cloud)	10,800	12,240	13,230	22.5%	13,500	-2.0%	13,741	-3.7%
Others (excl. FBS)	1,838	2,292	2,520	37.1%	1,893	33.1%	2,167	16.3%
Total revenues	184,504	196,458	204,785	11.0%	201,843	1.5%	202,660	1.0%
Gross profit	105,013	111,265	118,433	12.8%	116,584	1.6%	115,426	2.6%
Operating profit	60,104	67,375	67,276	11.9%	65,308	3.0%	66,498	1.2%
Operating profit (Non-IFRS)	69,248	75,627	75,636	9.2%	74,090	2.1%	74,982	0.9%
Operating profit excl. New AI Products (Non-IFRS)*	72,400	84,400	86,100	19.0%	82,090	4.9%		
Net profit	55,628	58,093	56,022	0.7%	58,386	-4.0%	58,505	-4.2%
Net profit (Non-IFRS)	63,052	67,905	68,415	8.5%	68,929	-0.7%	68,257	0.2%
Margin analysis								
Gross margin	56.9%	56.6%	57.8%	0.9ppt	57.8%	0.1ppt	57.0%	0.9ppt
Operating margin	32.6%	34.3%	32.9%	0.3ppt	32.4%	0.5ppt	32.8%	0.0ppt
Non-IFRS operating margin	37.5%	38.5%	36.9%	-0.6ppt	36.7%	0.2ppt	37.0%	-0.1ppt
Net margin	30.2%	29.6%	27.4%	-2.8ppt	28.9%	-1.6ppt	28.9%	-1.5ppt
Non-IFRS net margin	34.2%	34.6%	33.4%	-0.8ppt	34.1%	-0.7ppt	33.7%	-0.3ppt

Source: Company data, Visible Alpha consensus, Morgan Stanley Research estimates. *Excludes revenues, costs and expenses for new AI products (Hy, Yuanbao, CodeBuddy, WorkBuddy, and Xiaowei).

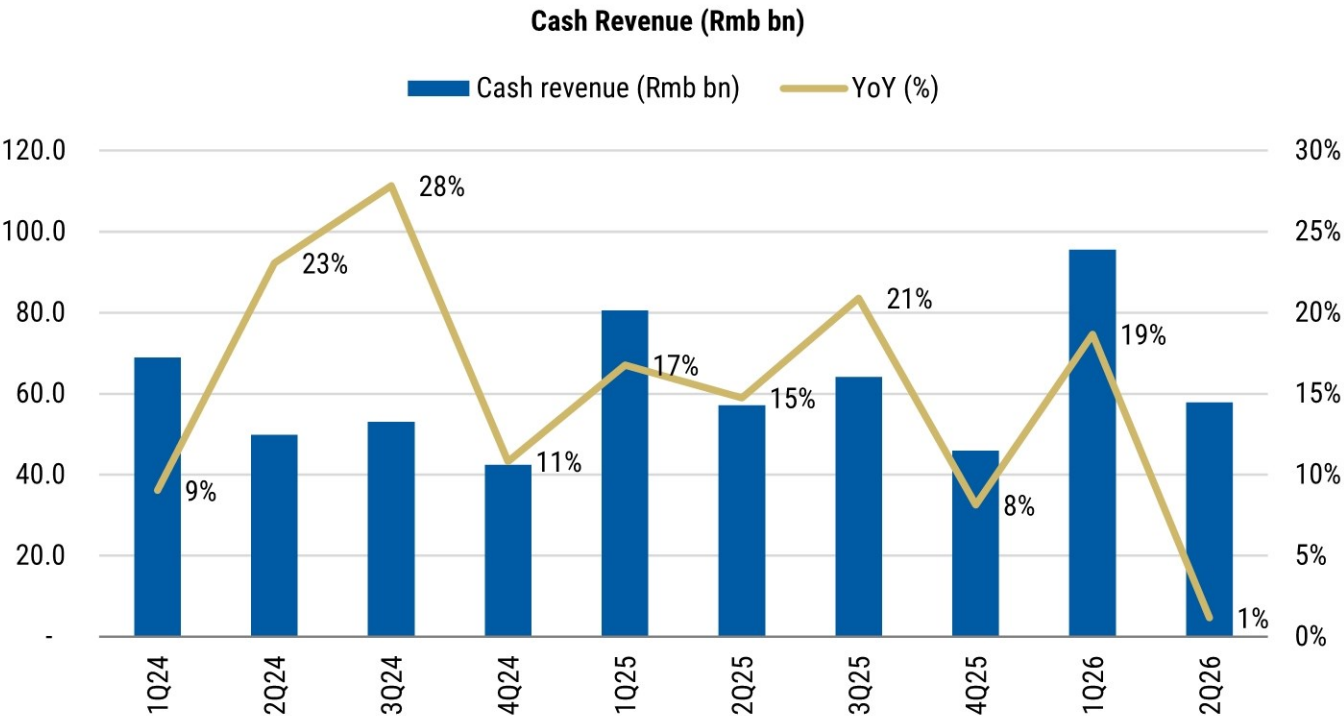
Exhibit 2: Tencent share repurchase history vs. Prosus sell-down



Source: Note: We use USD/HKD 7.8. Source: Company data, HKEX, Morgan Stanley Research

Morgan Stanley is currently acting as financial advisor to Prosus N.V. ("Prosus") with respect to the proposed open-ended, share repurchase program of Prosus and Naspers shares. Prosus has agreed to pay fees to Morgan Stanley for its financial services, including transaction fees that are subject to the consummation of the proposed spin-off. Please refer to the notes at the end of the report.

Exhibit 3: Tencent estimated gross receipts (based on deferred revenue)



Source: Company data, Morgan Stanley Research estimates

Estimate Changes

We keep our 2026-28 revenue forecasts largely unchanged but lower our non-IFRS operating profit forecasts 1.8%, 12.3%, and 21% respectively, mainly reflecting higher capex and AI related investments. Our EPS estimates decrease 4.3% for 2026, 15% for 2027, and 23.9% for 2028.

Exhibit 4: Tencent: What's Changed

Income Statement	Current forecast			Previous forecast			Changes (%)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
RMB, mn	Dec-26	Dec-27	Dec-28	Dec-26	Dec-27	Dec-28	Dec-26	Dec-27	Dec-28
VAS	394,945	420,549	446,656	394,805	420,587	446,881	0.0%	0.0%	-0.1%
- Online games	265,919	285,716	306,430	265,779	285,755	306,655	0.1%	0.0%	-0.1%
- Social network	129,026	134,833	140,226	129,026	134,833	140,226	0.0%	0.0%	0.0%
Online advertising	172,518	198,396	222,203	170,343	195,895	219,402	1.3%	1.3%	1.3%
FinTech & business services	252,273	279,808	310,422	252,273	279,808	310,422	0.0%	0.0%	0.0%
Others	9,692	9,983	10,283	9,450	9,734	10,026	2.6%	2.6%	2.6%
Total revenues	829,428	908,735	989,564	826,871	906,024	986,730	0.3%	0.3%	0.3%
VAS	(150,079)	(159,809)	(169,729)	(150,026)	(159,823)	(169,815)	0.0%	0.0%	-0.1%
Online advertising	(72,458)	(82,334)	(91,103)	(71,544)	(81,296)	(89,955)	1.3%	1.3%	1.3%
FinTech & business services	(123,614)	(134,308)	(145,898)	(123,614)	(134,308)	(145,898)	0.0%	0.0%	0.0%
Others	(11,631)	(9,484)	(9,769)	(10,395)	(9,247)	(9,524)	11.9%	2.6%	2.6%
Total cost of revenues	(357,781)	(385,934)	(416,499)	(355,579)	(384,674)	(415,192)	0.6%	0.3%	0.3%
Gross profit	471,647	522,801	573,064	471,292	521,349	571,538	0.1%	0.3%	0.3%
Operating profit	258,996	257,815	256,446	264,440	299,296	334,776	-2.1%	-13.9%	-23.4%
Operating profit (Non IFRS)	294,198	294,158	293,978	299,556	335,550	372,218	-1.8%	-12.3%	-21.0%
Net profit (IFRS)	229,773	231,270	233,943	240,117	272,163	307,317	-4.3%	-15.0%	-23.9%
Net profit (Non IFRS)	273,702	274,349	278,323	280,935	315,115	351,634	-2.6%	-12.9%	-20.8%
Per share									
EPS for consensus	24.8	24.9	25.2	25.9	29.3	33.1	-4.3%	-15.0%	-23.9%
Non-IFRS EPS	30.0	30.1	30.5	30.8	34.6	38.6	-2.6%	-12.9%	-20.8%
Non-IFRS Diluted	29.3	29.4	29.8	30.1	33.8	37.7	-2.6%	-12.9%	-20.8%

Source: Company data, Morgan Stanley Research (E) estimates

Valuation

Our price target decreases to HK\$550 on the back of our earnings cuts and higher capex forecasts: This is our base case scenario value, derived from a sum-of-the-parts approach, including HK\$475/share DCF value (previously HK\$570) for the core businesses and HK\$75/share (previously HK\$80) for associate investments. Our key assumptions for the core business in our DCF model include a 10% discount rate and a 3% terminal growth rate (both unchanged). We also apply a 30% discount to investment value, as we believe Tencent's investments are synergistic to its core business.

Exhibit 5: DCF matrix: unlevered FCF

Years Ending December 31 Rmb mn	2023	2024	2025 Scenario	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
				0									
DCF													
Operating profit (MS, IFRS)	155,373	200,097	244,739	255,996	253,815	252,446	290,370	330,718	367,935	406,529	444,789	485,322	528,237
D&A	59,008	56,213	66,028	86,833	130,407	184,498	197,730	208,565	218,264	227,161	235,923	244,441	252,629
Capex	(22,700)	(72,100)	(88,300)	(199,063)	(199,922)	(197,913)	(203,560)	(207,365)	(212,289)	(217,585)	(224,787)	(231,430)	(237,489)
Media contents	(24,700)	(24,000)	(24,600)	(24,240)	(24,457)	(24,527)	(24,445)	(24,210)	(24,937)	(25,685)	(26,455)	(27,249)	(28,067)
Lease payments	(7,600)	(7,100)	(7,600)	(7,817)	(8,290)	(8,619)	(8,935)	(9,217)	(9,489)	(9,757)	(10,045)	(10,342)	(10,638)
Taxes	(36,941)	(39,086)	(43,913)	(46,079)	(45,687)	(45,440)	(52,267)	(59,529)	(66,228)	(73,175)	(80,062)	(87,358)	(95,083)
Non-controlling interests	(4,046)	(4,491)	(7,339)	(7,175)	(6,891)	(6,700)	(7,397)	(8,091)	(8,702)	(9,288)	(9,810)	(10,311)	(10,784)
Working capital	19,233	21,881	16,484	(87,182)	(18,666)	(6,978)	(19,189)	(14,654)	(14,658)	(16,099)	(16,974)	(18,939)	(21,022)
Unlevered FCF (FCFF)	137,627	131,414	155,499	(28,927)	80,310	146,767	172,307	216,215	249,896	282,102	312,578	344,134	377,783
% YoY	112.3%	-4.5%	18.3%	-118.6%	-377.6%	82.8%	17.4%	25.5%	15.6%	12.9%	10.8%	10.1%	9.8%
% of revenue	22.6%	19.9%	20.7%	-3.5%	8.8%	14.8%	16.1%	18.8%	20.2%	21.4%	22.2%	23.0%	23.9%
WACC				10.0%									
TGR				3.0%									

Note: Assuming a 30% discount to non-core investments. Source: Company data, Morgan Stanley Research (E) estimates.

Financial Summary

Exhibit 6: Tencent: Financial Summary

Years Ending December 31	2025	2026E	2027E	2028E
Rmb mn				
INCOME STATEMENT (IFRS)				
VAS	369,281	394,945	420,549	446,656
Marketing services	144,973	172,518	198,396	222,203
FinTech and business services	229,435	252,273	279,808	310,422
Others	8,077	9,692	9,983	10,283
Total revenues	751,766	829,428	908,735	989,564
VAS	222,296	244,866	260,740	276,927
Marketing services	83,389	100,060	116,061	131,100
FinTech and business services	116,616	128,659	145,500	164,524
Others	292	(1,938)	499	514
Gross profit	422,593	471,647	522,801	573,064
% GP margin	56.2%	56.9%	57.5%	57.9%
Operating profit	241,562	258,996	257,815	256,446
% OP margin	32.1%	31.2%	28.4%	25.9%
Profit before income tax	277,249	286,206	287,075	289,926
Profit for the period	229,801	235,223	236,473	238,977
Profit attributable to equity holders	224,842	229,773	231,270	233,943
EPS for consensus	24.32	24.76	24.92	25.21
Basic EPS (Rmb)	24.75	25.19	25.36	25.65
Diluted EPS (Rmb)	24.15	24.59	24.75	25.04
INCOME STATEMENT (NON-IFRS)				
Operating profit	280,656	294,198	294,158	293,978
Adjusted EBITDA	336,427	364,497	407,545	461,633
Profit attributable to equity holders	259,626	273,702	274,349	278,323
% margin				
Operating profit	37.3%	35.5%	32.4%	29.7%
Adjusted EBITDA	44.8%	43.9%	44.8%	46.7%
Profit attributable to equity holders	34.5%	33.0%	30.2%	28.1%
Basic EPS (non-IFRS; Rmb)	28.58	30.01	30.08	30.52
Diluted EPS (non-IFRS; Rmb)	27.92	29.32	29.39	29.82

Years Ending December 31	2025	2026E	2027E	2028E
Rmb mn				
BALANCE SHEET				
Current assets	595,460	592,596	689,483	849,090
Non-current assets	1,443,526	1,666,784	1,806,567	1,890,951
Total assets	2,038,986	2,259,380	2,496,050	2,740,041
Current liabilities	412,751	416,744	439,013	469,793
Non-current liabilities	385,170	386,835	388,863	390,783
Total liabilities	797,921	803,578	827,875	860,576
Total equity	1,241,065	1,455,801	1,668,175	1,879,465
Total liabilities and equity	2,038,986	2,259,380	2,496,050	2,740,041
Total cash	494,878	457,462	524,830	656,975
Total debt	387,733	387,733	387,733	387,733
Net cash/(debt)	107,145	69,729	137,097	269,242
CASH FLOW STATEMENT				
Operating cash flow	303,052	230,679	343,561	408,975
Investing cash flow	(205,732)	(203,508)	(206,081)	(201,447)
Financing cash flow	(87,155)	(64,588)	(70,113)	(75,382)
Net change in cash	8,522	(37,416)	67,367	132,146
FCF	182,552	(440)	110,892	177,915

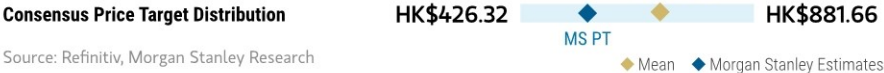
Source: Company data, Morgan Stanley Research (E) estimates

Risk Reward – Tencent Holdings Ltd. (0700.HK)

AI investments weigh on margins in near term, unlock long-term opportunities

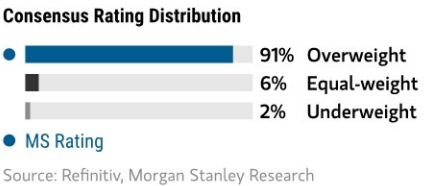
PRICE TARGET HK\$550.00

HK\$550: Base case, sum of the parts.
Core business - HK\$475: DCF (10% discount rate, 3% terminal growth rate)
Associate investments - HK\$75 /share (based on reported book value) and 30% discount applied to investment value.



OVERWEIGHT THESIS

- Tencent dominates China's online consumer market in terms of revenue size and traffic volume. Most of its services rank in the top three by user base.
- Positive earnings levers include globalization of the game business, higher social ad monetization, fintech offerings, and strategic upgrades to capitalize consumer and industrial Internet.
- Stepped-up AI investments will likely weigh on margins in the near term but should unlock new opportunities in the long term.
- Among China's Internet leaders, Tencent has historically merited a premium valuation for strong revenue growth and earnings visibility. Our price target implies 2026e P/E of ~15x.

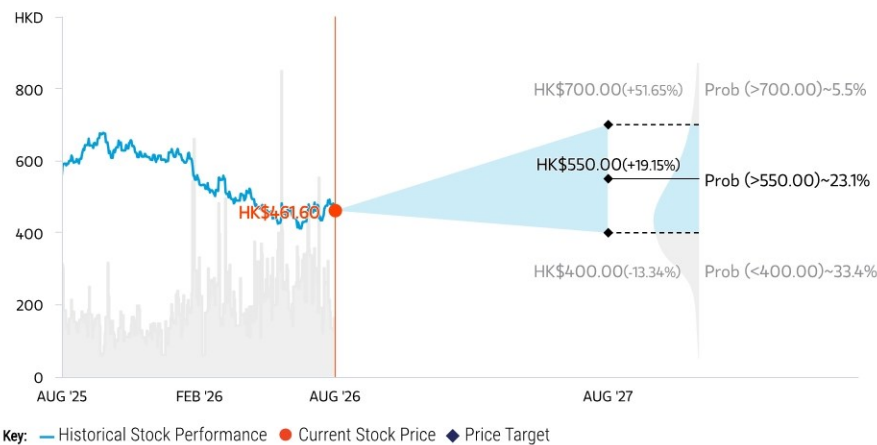


Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 12 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE	HK\$700.00	BASE CASE	HK\$550.00	BEAR CASE	HK\$400.00
18x bull case non-IFRS 2026e EPS		15.6x base case non-IFRS 2026e EPS		12.5x bear case non-IFRS 2026e EPS	
Strong monetization across all products and services as Tencent successfully monetizes its sizable user traffic		Sustained growth in mobile games, with progress in online ads, followed by fintech and business services expansion		Competition weighing on growth outlook with user time spent being challenged by emerging rivals	
Total revenue: 10% 2025-30E CAGR.		Total revenue: 9% 2025-30E CAGR.		Total revenue: 7% 2025-30E CAGR.	
Non-GAAP OPM: 37% in 2026E.		Non-GAAP OPM: 35.5% in 2026E.		Non-GAAP OPM: 33% in 2026E.	
18x bull case EPS for 2026E vs. historical trading band of 10-48x since 2015.		15.6x base case EPS for 2026E vs. historical trading band of 10x-48x since 2015.		12.5x bear case EPS for 2026E vs. historical trading band of 10-48x since 2015.	

Risk Reward – Tencent Holdings Ltd. (0700.HK)

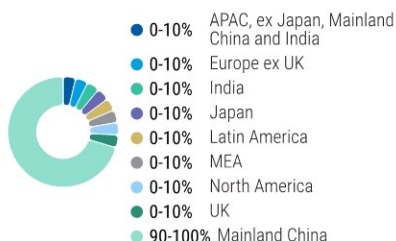
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Non-GAAP OPM (%)	37.3	35.5	32.4	29.7

INVESTMENT DRIVERS

- Video accounts ramp-up
- Game monetization in both domestic and overseas markets
- VAS subscriber base and ARPU expansion
- Advertiser base and ARPA expansion
- Long-term growth potential in Industrial Internet

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Solid execution in new game launches, both domestically and overseas
- Market share gain in social and short video ads
- Resilience in social network and online entertainment competition
- 2C AI adoption ramp-up

RISKS TO DOWNSIDE

- Gaming industry regulatory uncertainties
- Intensified competition in social networks and ad budget with emerging entertainment formats
- Tightened regulations on antitrust and amid US/China tension

OWNERSHIP POSITIONING

Inst. Owners, % Active 67.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 780,665.5 829,428.4 841,978.0
824,815.1

EBIT (Rmb, mn) 255,528.5 258,996 344,490.5
288,066.4

EBITDA (Rmb, mn) 293,158.3 345,629 413,000.0
355,533.9

Net income (Rmb, mn) 229,773 275,450.1 298,538.0

EPS (Rmb) 24.8 30.2 32.9

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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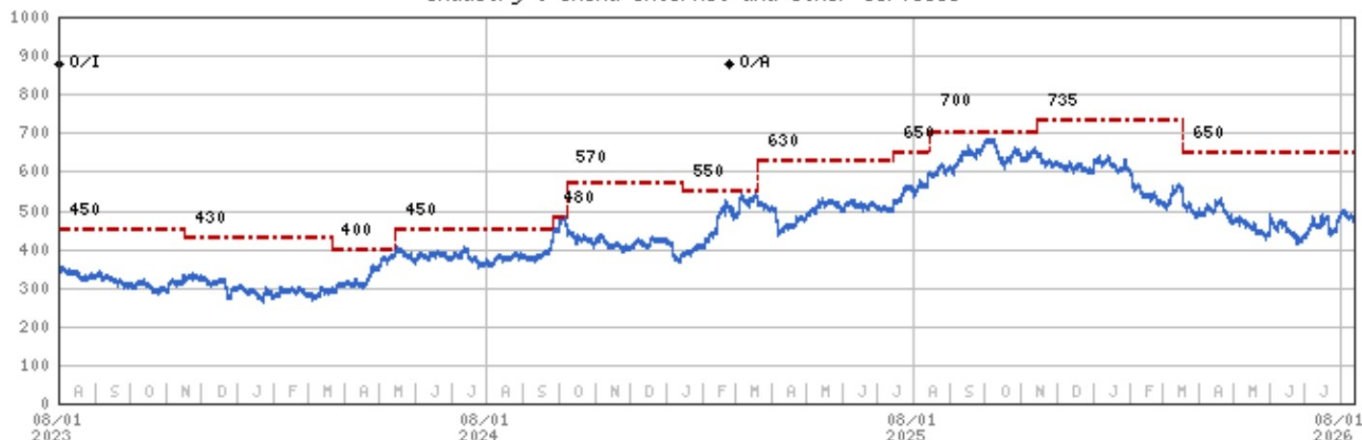
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Stock Price, Price Target and Rating History (See Rating Definitions)

Tencent Holdings Ltd. (0700.HK) - As of 08/12/26 GMT in HKD
Industry : China Internet and Other Services



Stock Rating History: 8/1/21 : 0/A; 9/20/21 : 0/I; 2/24/25 : 0/A

Price Target History: 7/15/21 : 720; 8/19/21 : 700; 9/20/21 : 650; 1/18/22 : 600; 3/21/22 : 520; 3/24/22 : 480; 5/19/22 : 450; 8/18/22 : 400; 10/11/22 : 350; 11/17/22 : 360; 1/9/23 : 420; 2/8/23 : 450; 11/16/23 : 430; 3/21/24 : 400; 5/15/24 : 450; 9/26/24 : 480; 10/8/24 : 570; 1/15/25 : 550; 3/20/25 : 630; 7/14/25 : 650; 8/14/25 : 700; 11/14/25 : 735; 3/19/26 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/12/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$22.97
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$9.27
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$31.61
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$16.09
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$17.42
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$89.04
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$14.45
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$125.22
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$104.84
Meituan (3690.HK)	O (08/29/2024)	HK\$91.65
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$461.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.38
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.33
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$74.16
Weibo Corp (WB.O)	U (05/17/2024)	US\$7.76
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$17.61
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK\$41.54
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$124.11
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$13.65
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$45.58

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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